

104	Kroening vs. Denny's Corporation 2026-01553742	Demurrer to Complaint and alternatively Motion to Strike Defendants Denny’s Corporation, Denny’s Inc., and DFO, LLC have filed a Demurrer and Alternative Motion to Strike Out-of-State Class Claims. (ROA #27.) For the reasons stated below, the Court OVERRULES the demurrer and DENIES WITHOUT PREJUDICE the alternative motion to strike. This is a putative nationwide class action for violation of the federal Fair and Accurate Credit Transactions Act (FACTA). More specifically, Plaintiff alleges that Defendants knowingly or recklessly failed to comply with FACTA by printing ten (10) digits (i.e., the first six (6) and the last four (4)) of consumers’ credit and debit card numbers on receipts in violation of subdivision (g) 15 U.S.C. section 1681c, which permits disclosure of only the last five (5) digits. (ROA #2 [Compl.], ¶¶ 2, 22.) Subdivision (g) of Section 1681c—i.e., the specific provision under which Plaintiff sues in this case, governing the “Truncation of credit card and debit card numbers”—was added by FACTA in 2003 to the existing Section 1681c, which forms a part of the Fair Credit Reporting Act (FCRA). Section 1681n, subdivision (a)(1)(A) provides, in relevant part, that for willful noncompliance, a defendant is liable to a consumer in amount that includes “any actual damages sustained by the consumer as a result of the failure or damages of not less than \$100 and not more than \$1,000.” 1. Demurrer Defendants demur to Plaintiff’s FACTA claim on the ground that Plaintiff lacks standing. Defendants essentially contend that under <i>Limon v. Circle K Stores, Inc.</i> (5th Dist., 2022) 84 Cal.App.5th 671 and <i>Muha v. Experian Information Solutions, Inc.</i> (4th Dist., Div. 3, 2024) 106 Cal.App.5th 199, California law requires Plaintiff to allege a “beneficial interest,” which is the equivalent of the federal Article III standing requirement that Plaintiff must have suffered an “injury in fact” that is “concrete” and “actual or imminent, not conjectural or hypothetical.” (See generally ROA #25 [Dem. P&A], pp. 1-2, 5-6.) Plaintiff opposes the demurrer by relying on <i>Askins v. CRST Expedited, Inc.</i> (1st Dist., Div. 3, 2026) 120 Cal.App.5th 1190, which declined to follow <i>Limon</i> and held that California’s standing requirements do not require a plaintiff to establish Article III-style concrete injury beyond the violation of statutory rights. (See generally ROA #40 [Opp.], pp. 1, 4-8.) In reply, Defendants acknowledge that <i>Askins</i> has created a split of authority in the Court of Appeal and urges this Court to follow <i>Limon</i> rather than <i>Askins</i>. (See generally ROA #42 [Reply], pp. 2-4.) When California Court of Appeal decisions are in conflict, “the court exercising inferior jurisdiction can and must make a choice between the conflicting decisions.” (<i>Auto Equity Sales, Inc. v. Super. Ct.</i> (1962) 57 Cal.2d 450, 456.) The Court has reviewed all three cited decisions and concludes that it will follow <i>Askins</i> as the better-reasoned decision.
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		“California courts . . . are not constrained by Article III’s case-or-controversy requirement” and that “California courts are guided by prudential considerations and generally require a plaintiff to have a personal interest to ensure that relevant facts and issues are adequately presented.” (<i>Askins, supra</i>, 120 Cal.App.5th at pp. 1198-1199, internal quotes omitted.) Under California standing rules, “[f]or causes of action based on statute, standing is a matter of statutory interpretation” and “is determined by the language of the statute itself along with the underlying legislative intent and statutory purpose.” (<i>Id.</i> at p. 1199, internal quotes omitted.) Importantly, “California’s approach to standing does not vary depending on whether it is considering a state or federal statute.” (<i>Id.</i>) “[I]n interpreting a statute . . . to determine the Legislature’s intent so as to effectuate the law’s purpose,” courts “first examine the statutory language, giving it a plain and commonsense meaning. If the language is clear, courts must generally follow its plain meaning unless a literal interpretation would result in absurd consequences the Legislature did not intend. If the statutory language permits more than one reasonable interpretation, courts may consider other aids, such as the statute’s purpose, legislative history, and public policy.” (<i>Id.</i> at p. 1201, internal quotes & citations omitted.) The Court agrees with the <i>Askins</i> court’s interpretation of the plain language of Section 1681n to conclude it “demonstrates that Congress authorized recovery of statutory damages for failure to comply with the FCRA even absent proof of harm.” (<i>Id.</i> at p. 1203.) The Court notes that not only is this interpretation consistent with the weight of “federal appellate courts across multiple circuits [that] have concluded that the FCRA allows for a recovery without proof of actual damages,” but also the Ninth Circuit has so concluded even after <i>Spokeo, Inc. v. Robins</i> (2016) 578 U.S. 330, 333. (<i>Robins v. Spokeo, Inc.</i> (9th Cir. 2017) 867 F.3d 1108, 1110-1111, emphasis added [“The statute gives consumers . . . the right to sue (and to recover statutory damages) for willful violations <i>even if the consumer cannot show that the violation caused him to sustain any actual damages</i>”].) Contrary to Defendants’ contention, the <i>Askins</i> court did not ignore the second meaning of “nominal damages where an injury exists but is insubstantial” (Reply at p. 3.); in fact, the <i>Askins</i> court specifically stated: “Applying that principle here, Congress’s decision to use the phrase ‘damages’ and deliberately omit the limiting language attached to ‘actual damages’ indicates a broader intent, i.e., to allow recovery of damages ‘where there is <i>no substantial loss or injury to be compensated</i>, but still the law <i>recognizes a technical invasion of [a plaintiff’s] rights</i>’” (<i>Askins, supra</i>, 120 Cal.App.5th at p. 1202, brackets original, emphases added). Further, the Court agrees with the <i>Askins</i> court’s criticisms of <i>Limon</i> in declining to follow it. (<i>Id.</i> at pp. 1205-1206.) Moreover, although the plain language of Section 1681n is clear, the <i>Askins</i> court nevertheless considered the purposes of the FCRA in reaching its decision. (See <i>id.</i> at pp. 1200, 1206.) The <i>Askins</i> court also specifically noted that one such key purpose is to “protect[] privacy” rights of consumers. (<i>Id.</i> at p. 1206.) Therefore,
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there is also no merit to Defendants’ argument that the *Askins* “opinion does not discuss Congress’s purpose in enacting the FCRA.” (Reply at p. 2.) Defendants also contend that FACTA’s or the FCRA’s purpose was to “ensure that consumers suffering from any actual harm to their credit or identity are protected while simultaneously limiting abusive lawsuits.” (Dem. P&A at p. 1.) However, that quote comes from the Credit and Debit Card Receipt Clarification Act, which was passed to clarify that printing an expiration date on a receipt but otherwise complied with the card number truncation requirements did not constitute willful noncompliance. Given that the Clarification Act’s provisions are not at issue here, the Clarification Act’s purpose as cited by Defendants is irrelevant here.

In short, as the court concluded in *Askins*, because Section 1681n does not require proof of actual harm to recover statutory damages, Plaintiff “need not demonstrate any injury beyond the violation of his statutory rights under the FCRA” to establish standing under California law, as “[t]he statutory violation itself supplies the concrete interest necessary to maintain the action.” (*Askins, supra*, 120 Cal.App.5th at p. 1205.)

Therefore, Defendants’ demurrer based on standing grounds is **OVERRULED**.

2. Alternative Motion to Strike

Defendants also alternatively seek an order, pursuant to Rules of Court (CRC), rule 3.767(a)(3), striking the complaint’s class claims in ¶¶ 92-97 to the extent these paragraphs seek to encompass putative class members who are either located outside California and/or who obtained receipts at Denny’s locations outside California.

First, Defendants contend that their motion to strike should be granted because non-California residents patronizing non-California Denny’s locations should not be subject to California standing requirements because if they had brought their own individual claims against Defendants, these non-California plaintiffs would have been subject to federal Article III standing requirements or the standing requirements of their individual states—but not California standing requirements. (Dem. P&A at p. 9.) Defendants cite no authority in support of this contention.

In opposition, Plaintiff cites *In re Tobacco II Cases* (2009) 46 Cal.4th 298, 319 for the proposition that “[g]enerally standing in a class action is assessed solely with respect to class representatives, not unnamed members of the class.” (Opp. at p. 11; see also *In re Tobacco II Cases, supra*, at p. 321 [noting that “accepted principles of class action procedure that treat the issue of standing as referring only to the class representative and not the absent class members”].) But Defendants do not address *Tobacco II Cases* or this argument in their reply. Therefore, Defendants may be deemed to have conceded this point. (*DuPont Merck Pharmaceutical Co. v. Super. Ct.* (2000) 78 Cal.App.4th 562, 566 [“By failing to argue the contrary, [the parties] concede this issue”].)

Second, Defendants contend that their motion to strike should be granted because this Court lacks personal jurisdiction over the non-California residents’ claims against Defendants, who are non-California residents. In short, Defendants seek to apply personal jurisdiction requirements to non-named putative class members. In support, Defendants primarily rely on three cases: (1) *Snowney v. Harrah’s*

		<i>Entertainment, Inc.</i> (2005) 35 Cal.4th 1054; (2) <i>LG Chem, Ltd. v. Superior Court</i> (2022) 80 Cal.App.5th 348; and (3) <i>Bristol-Myers Squibb Co. v. Superior Court</i> (2017) 582 U.S. 255. However, none of these cases addressed whether, in a putative nationwide class action, the Court must have personal jurisdiction over the claims of every unnamed class member against Defendants. Defendants have cited no relevant binding authority on this issue. The majority of federal courts that have considered whether to extend <i>Bristol-Myers</i>’s holding in the mass tort context to the class action context have declined to do so. (See, e.g., <i>Fischer v. Federal Express Corp.</i> (3d Cir. 2022) 42 F.4th, 366, 375; <i>Lyngaas v. Curaden AG</i> (6th Cir. 2021) 992 F.3d 412, 435; <i>Mussat v. IQVIA, Inc.</i> (7th Cir. 2020) 953 F.3d 441, 447; <i>Burchfield v. Prestige Consumer Healthcare, Inc.</i> (C.D.Cal. 2021) 534 F.Supp.3d 1192, 1208; <i>Sotomayor v. Bank of America, N.A.</i> (C.D. Cal. 2019) 377 F.Supp.3d 1034, 1036, 1038.) The Court therefore follows the weight of these authorities and DENIES Defendants’ motion to strike class allegations. Given the lack of binding authority on this issue, the Court’s denial of the motion to strike at this time is WITHOUT PREJUDICE to Defendants raising the issue again at a later, appropriate time. Plaintiff to give notice.
105	Southern California Edison Company vs. California State Board of Equalization 2025-01534286	Motion for Leave to Intervene The City of Fontana’s motion to intervene is GRANTED. The Court finds that the City’s intervention is mandatory under Code of Civil Procedure (CCP) section 387, subdivision (d)(1)(A) because Revenue and Tax Code section 5184, which governs the sole cause of action alleged by Plaintiff in this case, confers an unconditional right upon the City to intervene. (Rev. & Tax Code, § 5148 [“Any city receiving notice of the action filed against the board and the county may, within 30 days of the receipt of that notice, intervene in that action”].) The City is ORDERED to separately file its proposed answer with the Court and serve all parties within 5 court days. The answer must be filed as a separate document to ensure it is properly indexed in the record. The City shall give notice of this ruling.